Business Environment & Ethics - Set 1

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

1. Wholesalers, retailers and agents who help a firm reach its customers are called
A. Competitors
B. Suppliers
C. Regulators
D. Marketing intermediaries

2. Philanthropy aligned with business goals and community needs is called
A. Strategic philanthropy
B. Random donation
C. Tax donation
D. Political donation

3. The Kyoto Protocol deals with
A. Trade tariffs
B. Reduction of greenhouse gas emissions
C. Nuclear weapons
D. Child labour

4. Which of the following is NOT a basic economic question every economy must answer?
A. Who will govern the country
B. What to produce
C. How to produce
D. For whom to produce

5. If the interest rate on loans rises, the immediate effect on firms is
A. A fall in the cost of borrowing
B. An increase in the cost of borrowing
C. No effect on borrowing
D. Lower taxes

Case: SunVolt Energy: SunVolt Energy plans to sell rooftop solar systems in India. It notes that the government offers a subsidy for rooftop solar, bank interest rates are falling so loans are cheaper, battery technology has become much cheaper, and net-metering regulations now allow households to sell extra power to the grid.

6. The fall in battery costs due to improved technology is a:
A. Economic factor only
B. Legal factor
C. Social factor
D. Technological factor

7. Providing safe working conditions and fair wages to employees is a part of
A. Responsibility towards competitors
B. Responsibility towards the government
C. Purely philanthropic activity
D. Responsibility towards employees (internal stakeholders)

8. The MRTP Act, 1969 aimed to
A. Promote exports
B. Prevent concentration of economic power and monopolistic practices
C. Regulate stock markets
D. Protect the environment

9. Environmental Impact Assessment (EIA) is

A. An audit of financial statements
B. A tax assessment
C. A study of the likely environmental effects of a project before approval
D. A market survey

10. The number of consumer rights listed in the Consumer Protection Act, 2019 is
A. Four
B. Six
C. Five
D. Eight

11. A government ban on single-use plastic would mainly be classified as a
A. Demographic factor
B. Internal factor
C. Micro factor
D. Legal and environmental factor

12. After the reforms, India has come to be regarded as one of the world's
A. Fastest-growing major economies
B. Slowest-growing economies
C. Closed economies
D. Barter economies

Case: Karthik Plastics and Government Policy: Karthik Plastics, a small manufacturer, benefits from the government's 'Make in India' campaign and a production-linked incentive scheme. Since 2017 it pays a single unified indirect tax instead of several separate ones. Recently, the Competition Commission of India fined a group of cement companies for fixing prices together.

13. The 'Make in India' initiative, launched in 2014, mainly aims to:
A. Increase imports
B. Promote domestic manufacturing
C. Nationalise industries
D. Abolish exports

14. Tata Trusts are associated with the business group
A. Reliance Group
B. Infosys
C. Bajaj Auto
D. Tata Group

15. The ISI mark on products is issued by the
A. FSSAI
B. SEBI
C. RBI
D. Bureau of Indian Standards

16. Clear labelling of price, ingredients and expiry date reflects
A. Secrecy
B. Price discrimination
C. Cost cutting
D. Transparency towards consumers

Case: Skyline BPO: A Complaint at Work: An employee at Skyline BPO complains that her manager repeatedly makes unwelcome remarks and advances. The firm has more than ten employees. It must now follow the law on sexual harassment at the workplace and ensure that the complaint is handled fairly.

17. Holding the manager answerable for his behaviour reflects the principle of:
A. Secrecy
B. Profit maximisation
C. Accountability
D. Brand building

18. Transparency in business means

A. Hiding losses
B. Openness in disclosing relevant information to stakeholders
C. Secret pricing
D. Avoiding audits

19. Ethical conduct by a firm over time mainly builds
A. Goodwill and long-term sustainability
B. Short-term losses only
C. Legal disputes
D. Government control

20. The process of monitoring the environment to identify opportunities and threats is called
A. Market segmentation
B. Capital budgeting
C. Environmental scanning
D. Job analysis

Case: PureLeaf's Eco-Friendly Claim: PureLeaf advertises its packaging as '100% eco-friendly' although only 10 per cent of the packaging is recycled material. A consumer group complains. The company later cuts plastic use and publishes an independently verified sustainability report.

21. Under consumer law, such a claim may be treated as:
A. A misleading advertisement
B. A fair trade practice
C. A legitimate sales promotion
D. A product warranty

22. A Social Impact Assessment studies
A. Stock price movements
B. Tax liability
C. Competitors' prices
D. The likely effects of a project on the community

23. The first major UN conference on the human environment was held at
A. Rio in 1992
B. Paris in 2015
C. Stockholm in 1972
D. Kyoto in 1997

24. Using customers' data only for the purposes stated reflects
A. Fairness and respect for privacy
B. Poor marketing
C. Weak control
D. Cost saving

25. The Satyam scandal of 2009 was related to
A. Environmental damage
B. Product safety failure
C. Falsification of accounts
D. Tax holidays

Case: Meena's Two Worlds: Before 1991, Meena's family waited years for a scooter or a telephone connection, and choices were limited. Today she can choose from many brands, including foreign ones, and from several mobile plans regulated by TRAI. Services now contribute the largest share of India's GDP.

26. The telecom regulator mentioned in the case is:
A. SEBI
B. IRDAI
C. RBI
D. TRAI

27. The Planning Commission of India was set up in
A. 1950

B. 1947
C. 1956
D. 1991

28. A firm known for integrity gains
A. Instant monopoly
B. Long-term trust and reputation
C. Freedom from audits
D. Immunity from law

29. Laissez-faire means
A. Minimum government interference in economic activity
B. Complete state control
C. Heavy taxation
D. Nationalisation of industry

30. Rejecting a qualified candidate because of gender is
A. Selection on merit
B. A fair practice
C. A legal requirement
D. Discrimination

31. Employment of children below ___ years in any occupation is prohibited in India.
A. 14
B. 10
C. 12
D. 16

32. The primary purpose of a code of ethics is to
A. Increase taxes
B. Guide employees' decisions and behaviour
C. Reduce competition
D. Limit customer choice

33. The environment that includes demographic, economic, political and technological forces affecting all firms is the
A. Internal environment
B. Micro environment
C. Macro environment
D. Departmental environment

Case: MegaPower's Coal Plant: MegaPower Ltd plans a coal-fired power plant near a forest. Before starting, it must carry out a study of the project's likely effects on air, water and wildlife, hold a public hearing and obtain clearance from the central environment ministry. Environmentalists argue the project must meet present energy needs without harming future generations.

34. The law specifically dealing with air emissions from the plant is the:
A. Water Act, 1974
B. Air (Prevention and Control of Pollution) Act, 1981
C. Companies Act, 2013
D. Contract Act, 1872

35. The Global Reporting Initiative provides standards for
A. Cost accounting
B. Tax filing
C. Stock trading
D. Sustainability reporting

Case: AgriMart Online: AgriMart, an online platform selling seeds and fertilisers to farmers, is preparing its annual plan. The government has suddenly banned the export of onions, which has hit farm incomes. At the same time, smartphone use in villages has grown rapidly. The management uses a PESTLE chart to organise these external developments but admits that the chart must be refreshed regularly.

36. Why must the PESTLE chart be refreshed regularly?

A. Internal factors never change
B. External factors keep changing, so an old chart becomes outdated
C. The law requires monthly charts
D. It replaces the need for planning

Case: FreshBite Foods: FreshBite Foods, a start-up selling packaged snacks, tracks competitor launches, changing consumer tastes, food-safety rules and raw material prices every month before deciding on new products. Last quarter this tracking helped it launch a millet-based snack just before health-conscious demand surged, while a larger rival that ignored the trend lost sales.

37. Changing consumer tastes illustrate which feature of the business environment?

A. Static nature
B. Complete controllability
C. Absence of complexity
D. Dynamic nature

38. Paying taxes honestly and complying with laws is a responsibility towards the

A. Competitors
B. Suppliers
C. Government
D. Employees only

39. Literacy rate and education level of a population are part of the

A. Natural environment
B. Social environment
C. Legal environment
D. Political environment

Case: Advertising and Local Values: A liquor brand plans a large advertisement along a route used for a temple festival in a conservative town. Local leaders, parents and traders object, saying it offends community values. The company's ethics committee is asked to advise.

40. The ethically sensitive course for the company is to:

A. Respect local values and avoid insensitive promotion
B. Go ahead since it is legal
C. Increase the advertising to overcome protests
D. Ignore local leaders

41. Raising prices sharply during an emergency to exploit buyers is called

A. Discounting
B. Price gouging
C. Price skimming
D. Bundling

Case: InfoServe BPO, Bengaluru: InfoServe, a Bengaluru firm, handles customer support for American clients at a lower cost, using skilled English-speaking staff. India's services exports have grown rapidly since the 1990s, helped by the WTO's rules-based trading system, which India joined as a founding member. However, InfoServe depends heavily on demand from foreign clients.

42. A major risk faced by InfoServe is:

A. Absence of any competition
B. Dependence on foreign demand and exchange-rate movements
C. A ban on exports
D. Lack of customers abroad forever

43. Under the Industrial Policy Resolution 1956, Schedule A industries were

A. Open only to the private sector
B. Open only to foreign firms
C. Exclusively reserved for the state
D. Free from all regulation

44. Greenwashing means

A. Making misleading claims about environmental benefits
B. Cleaning factories
C. Planting trees
D. Recycling paper

45. Accountability means
A. Avoiding responsibility
B. Being answerable for one's actions and decisions
C. Maximising profits
D. Reducing costs

46. Which of the following is a technological factor?
A. Religion
B. Tax policy
C. Pollution norms
D. Automation and artificial intelligence

47. Which of the following is a common argument against CSR?
A. It improves goodwill
B. It may divert resources from profit maximisation
C. It raises employee morale
D. It builds trust

48. The economic system adopted by India after independence was a
A. Mixed economy
B. Pure capitalist economy
C. Pure socialist economy
D. Communist economy

49. The Central Pollution Control Board (CPCB) was originally constituted under the
A. Wildlife Protection Act, 1972
B. Forest Conservation Act, 1980
C. Biological Diversity Act, 2002
D. Water (Prevention and Control of Pollution) Act, 1974

50. The Narasimham Committee of 1991 recommended reforms in the
A. Agriculture sector
B. Banking and financial sector
C. Education sector
D. Railway sector

Answer key - Set 1

1. **D**	11. **D**	21. **A**	31. **A**	41. **B**
2. **A**	12. **A**	22. **D**	32. **B**	42. **B**
3. **B**	13. **B**	23. **C**	33. **C**	43. **C**
4. **A**	14. **D**	24. **A**	34. **B**	44. **A**
5. **B**	15. **D**	25. **C**	35. **D**	45. **B**
6. **D**	16. **D**	26. **D**	36. **B**	46. **D**
7. **D**	17. **C**	27. **A**	37. **D**	47. **B**
8. **B**	18. **B**	28. **B**	38. **C**	48. **A**
9. **C**	19. **A**	29. **A**	39. **B**	49. **D**
10. **B**	20. **C**	30. **D**	40. **A**	50. **B**

Answers with explanations

1. Wholesalers, retailers and agents who help a firm reach its customers are called

Answer: D. Marketing intermediaries

Why correct: Wholesalers, retailers and agents help reach customers: marketing intermediaries.

A is wrong: Competitors sell similar goods.

B is wrong: Suppliers provide inputs.

C is wrong: Regulators make rules.

2. Philanthropy aligned with business goals and community needs is called

Answer: A. Strategic philanthropy

Why correct: Philanthropy aligned with business goals and community need is strategic philanthropy.

B is wrong: Random donation lacks alignment.

C is wrong: Tax donation is not the term.

D is wrong: Political donation is not CSR.

3. The Kyoto Protocol deals with

Answer: B. Reduction of greenhouse gas emissions

Why correct: The Kyoto Protocol aims to reduce greenhouse gas emissions.

A is wrong: Trade tariffs are WTO matters.

C is wrong: Nuclear weapons are another treaty.

D is wrong: Child labour is an ILO matter.

4. Which of the following is NOT a basic economic question every economy must answer?

Answer: A. Who will govern the country

Why correct: The three basic questions are what, how and for whom to produce; who governs is political.

B is wrong: What to produce is a basic question.

C is wrong: How to produce is a basic question.

D is wrong: For whom to produce is a basic question.

5. If the interest rate on loans rises, the immediate effect on firms is

Answer: B. An increase in the cost of borrowing

Why correct: Higher interest rates make borrowing costlier.

A is wrong: Borrowing does not get cheaper.

C is wrong: It does affect borrowing.

D is wrong: Taxes are unrelated.

6. The fall in battery costs due to improved technology is a:

Answer: D. Technological factor

Why correct: Falling battery cost comes from technological progress.

A is wrong: It is not only economic.

B is wrong: It is not legal.

C is wrong: It is not social.

7. Providing safe working conditions and fair wages to employees is a part of

Answer: D. Responsibility towards employees (internal stakeholders)

Why correct: Safe conditions and fair wages are a duty towards employees.

A is wrong: Competitors are a different group.

B is wrong: Government is a different group.

C is wrong: Safety and wages are not just charity.

8. The MRTP Act, 1969 aimed to

Answer: B. Prevent concentration of economic power and monopolistic practices

Why correct: The MRTP Act aimed to prevent concentration of economic power and monopolies.

A is wrong: Exports were not its focus.

C is wrong: Stock markets are regulated by SEBI.

D is wrong: The environment is protected by other Acts.

9. Environmental Impact Assessment (EIA) is

Answer: C. A study of the likely environmental effects of a project before approval

Why correct: EIA studies likely environmental effects before a project is approved.

A is wrong: A financial audit checks accounts.

B is wrong: A tax assessment is for tax.

D is wrong: A market survey studies demand.

10. The number of consumer rights listed in the Consumer Protection Act, 2019 is

Answer: B. Six

Why correct: The Consumer Protection Act, 2019 lists six consumer rights.

A is wrong: Four was the original Kennedy list.

C is wrong: Five is wrong.

D is wrong: Eight is the UN list.

11. A government ban on single-use plastic would mainly be classified as a

Answer: D. Legal and environmental factor

Why correct: A plastic ban is a law made to protect the environment.

A is wrong: It is not about population.

B is wrong: It is imposed from outside the firm, not inside.

C is wrong: It affects all firms, so it is not micro.

12. After the reforms, India has come to be regarded as one of the world's

Answer: A. Fastest-growing major economies

Why correct: After the reforms India became one of the fastest-growing major economies.

B is wrong: It is not among the slowest.

C is wrong: It is open, not closed.

D is wrong: It is a money economy, not barter.

13. The 'Make in India' initiative, launched in 2014, mainly aims to:

Answer: B. Promote domestic manufacturing

Why correct: Make in India promotes domestic manufacturing.

A is wrong: It does not aim to increase imports.

C is wrong: It does not nationalise.

D is wrong: It does not abolish exports.

14. Tata Trusts are associated with the business group

Answer: D. Tata Group

Why correct: Tata Trusts belong to the Tata Group.

A is wrong: Reliance has its own foundation.

B is wrong: Infosys has its own foundation.

C is wrong: Bajaj has its own trust.

15. The ISI mark on products is issued by the

Answer: D. Bureau of Indian Standards

Why correct: The Bureau of Indian Standards issues the ISI mark.

A is wrong: FSSAI issues food licences.

B is wrong: SEBI regulates securities.

C is wrong: RBI regulates banks.

16. Clear labelling of price, ingredients and expiry date reflects

Answer: D. Transparency towards consumers

Why correct: Clear labels of price, ingredients and expiry show transparency to consumers.

A is wrong: It is not secrecy.

B is wrong: It is not price discrimination.

C is wrong: It is not cost cutting.

17. Holding the manager answerable for his behaviour reflects the principle of:

Answer: C. Accountability

Why correct: Holding the manager answerable shows accountability.

A is wrong: Secrecy shields wrongdoing.

B is wrong: Profit maximisation is unrelated.

D is wrong: Brand building is unrelated.

18. Transparency in business means

Answer: B. Openness in disclosing relevant information to stakeholders

Why correct: Transparency is openness in disclosing relevant information to stakeholders.

A is wrong: Hiding losses is opaque.

C is wrong: Secret pricing is opaque.

D is wrong: Avoiding audits is opaque.

19. Ethical conduct by a firm over time mainly builds

Answer: A. Goodwill and long-term sustainability

Why correct: Ethical conduct builds goodwill and long-term sustainability.

B is wrong: It does not cause short-term losses only.

C is wrong: It reduces, not increases, disputes.

D is wrong: It reduces government control.

20. The process of monitoring the environment to identify opportunities and threats is called

Answer: C. Environmental scanning

Why correct: Environmental scanning is the monitoring of the environment for opportunities and threats.

A is wrong: Market segmentation divides customers.

B is wrong: Capital budgeting evaluates investments.

D is wrong: Job analysis studies jobs.

21. Under consumer law, such a claim may be treated as:

Answer: A. A misleading advertisement

Why correct: A false claim is a misleading advertisement under consumer law.

B is wrong: It is not fair trade.

C is wrong: It is not legitimate promotion.

D is wrong: It is not a warranty.

22. A Social Impact Assessment studies

Answer: D. The likely effects of a project on the community

Why correct: A Social Impact Assessment studies a project's likely effects on the community.

A is wrong: Stock prices are not studied.

B is wrong: Tax liability is not studied.

C is wrong: Competitors' prices are not studied.

23. The first major UN conference on the human environment was held at

Answer: C. Stockholm in 1972

Why correct: The first UN conference on the human environment was in Stockholm in 1972.

A is wrong: Rio was in 1992.

B is wrong: Paris was in 2015.

D is wrong: Kyoto was in 1997.

24. Using customers' data only for the purposes stated reflects

Answer: A. Fairness and respect for privacy

Why correct: Using data only for stated purposes respects privacy and fairness.

B is wrong: It is not poor marketing.

C is wrong: It is not weak control.

D is wrong: It is not about saving cost.

25. The Satyam scandal of 2009 was related to

Answer: C. Falsification of accounts

Why correct: Satyam 2009 was an accounts falsification scandal.

A is wrong: It was not environmental damage.

B is wrong: It was not product safety.

D is wrong: It was not about tax holidays.

26. The telecom regulator mentioned in the case is:

Answer: D. TRAI

Why correct: TRAI is the telecom regulator.

A is wrong: SEBI regulates securities.

B is wrong: IRDAI regulates insurance.

C is wrong: RBI regulates banks.

27. The Planning Commission of India was set up in

Answer: A. 1950

Why correct: The Planning Commission was set up in 1950.

B is wrong: 1947 is independence.

C is wrong: 1956 is the Industrial Policy.

D is wrong: 1991 is the reforms year.

28. A firm known for integrity gains

Answer: B. Long-term trust and reputation

Why correct: A firm known for integrity earns long-term trust and reputation.

A is wrong: No firm gets an instant monopoly.

C is wrong: It is still audited.

D is wrong: It is not above the law.

29. Laissez-faire means

Answer: A. Minimum government interference in economic activity

Why correct: Laissez-faire means minimum government interference in economic activity.

B is wrong: State control is the opposite.

C is wrong: Heavy taxation is not the meaning.

D is wrong: Nationalisation is state ownership.

30. Rejecting a qualified candidate because of gender is

Answer: D. Discrimination

Why correct: Rejecting a qualified candidate for gender is discrimination.

A is wrong: Merit selection ignores gender.

B is wrong: It is not fair.

C is wrong: It is not required by law.

31. Employment of children below ___ years in any occupation is prohibited in India.

Answer: A. 14

Why correct: Employment of children below 14 is prohibited.

B is wrong: 10 is wrong.

C is wrong: 12 is wrong.

D is wrong: 16 is wrong.

32. The primary purpose of a code of ethics is to

Answer: B. Guide employees' decisions and behaviour

Why correct: A code of ethics guides employees' decisions and behaviour.

A is wrong: It is not meant to raise taxes.

C is wrong: It does not reduce competition.

D is wrong: It does not limit customer choice.

33. The environment that includes demographic, economic, political and technological forces affecting all firms is the

Answer: C. Macro environment

Why correct: Economic, political, technological and demographic forces affecting all firms are the macro environment.

A is wrong: Internal is inside the firm.

B is wrong: Micro affects a particular firm.

D is wrong: Departmental is not a standard term.

34. The law specifically dealing with air emissions from the plant is the:

Answer: B. Air (Prevention and Control of Pollution) Act, 1981

Why correct: The Air Act, 1981 covers air emissions.

A is wrong: The Water Act deals with water.

C is wrong: The Companies Act governs companies.

D is wrong: The Contract Act governs contracts.

35. The Global Reporting Initiative provides standards for

Answer: D. Sustainability reporting

Why correct: GRI sets standards for sustainability reporting.

A is wrong: Cost accounting has its own standards.

B is wrong: Tax filing is separate.

C is wrong: Stock trading is separate.

36. Why must the PESTLE chart be refreshed regularly?

Answer: B. External factors keep changing, so an old chart becomes outdated

Why correct: External factors keep changing, so an old chart becomes outdated.

A is wrong: Internal factors do change.

C is wrong: No law requires monthly charts.

D is wrong: It supports, not replaces, planning.

37. Changing consumer tastes illustrate which feature of the business environment?

Answer: D. Dynamic nature

Why correct: Changing tastes show the environment keeps changing: dynamic nature.

A is wrong: Static means unchanging.

B is wrong: Consumer tastes cannot be completely controlled.

C is wrong: The environment is complex.

38. Paying taxes honestly and complying with laws is a responsibility towards the

Answer: C. Government

Why correct: Honest tax payment and compliance are duties towards the government.

A is wrong: Competitors are a different group.

B is wrong: Suppliers are a different group.

D is wrong: Employees are a different group.

39. Literacy rate and education level of a population are part of the

Answer: B. Social environment

Why correct: Literacy and education are social.

A is wrong: Natural is nature.

C is wrong: Legal is law.

D is wrong: Political is government.

40. The ethically sensitive course for the company is to:

Answer: A. Respect local values and avoid insensitive promotion

Why correct: Respecting local values and avoiding insensitive promotion is the ethical course.

B is wrong: Legal does not mean ethical.

C is wrong: More advertising worsens the offence.

D is wrong: Ignoring local leaders ignores stakeholders.

41. Raising prices sharply during an emergency to exploit buyers is called

Answer: B. Price gouging

Why correct: Sharp price rises in an emergency are price gouging.

A is wrong: Discounting lowers price.

C is wrong: Skimming is a launch strategy.

D is wrong: Bundling combines products.

42. A major risk faced by InfoServe is:

Answer: B. Dependence on foreign demand and exchange-rate movements

Why correct: InfoServe depends on foreign demand and exchange rates.

A is wrong: Competition exists.

C is wrong: Exports are not banned.

D is wrong: Customers exist abroad.

43. Under the Industrial Policy Resolution 1956, Schedule A industries were

Answer: C. Exclusively reserved for the state

Why correct: Schedule A industries were reserved exclusively for the state.

A is wrong: That was Schedule C.

B is wrong: Foreign firms were not given them.

D is wrong: They were regulated.

44. Greenwashing means

Answer: A. Making misleading claims about environmental benefits

Why correct: Greenwashing is misleading claims about environmental benefits.

B is wrong: Cleaning factories is real action.

C is wrong: Planting trees is real action.

D is wrong: Recycling paper is real action.

45. Accountability means

Answer: B. Being answerable for one's actions and decisions

Why correct: Accountability is being answerable for one's actions.

A is wrong: Avoiding responsibility is the opposite.

C is wrong: Maximising profit is a goal.

D is wrong: Reducing costs is a goal.

46. Which of the following is a technological factor?

Answer: D. Automation and artificial intelligence

Why correct: Automation and AI are technological factors.

A is wrong: Religion is social.

B is wrong: Tax policy is economic/political.

C is wrong: Pollution norms are environmental.

47. Which of the following is a common argument against CSR?

Answer: B. It may divert resources from profit maximisation

Why correct: A common objection is that CSR diverts resources from profit.

A is wrong: Goodwill is an argument in favour.

C is wrong: Morale is an argument in favour.

D is wrong: Trust is an argument in favour.

48. The economic system adopted by India after independence was a

Answer: A. Mixed economy

Why correct: India chose a mixed economy after independence.

B is wrong: It was not purely capitalist.

C is wrong: It was not purely socialist.

D is wrong: It was not communist.

49. The Central Pollution Control Board (CPCB) was originally constituted under the

Answer: D. Water (Prevention and Control of Pollution) Act, 1974

Why correct: The CPCB was constituted under the Water Act, 1974.

A is wrong: Wildlife Act does not create it.

B is wrong: Forest Act does not create it.

C is wrong: Biodiversity Act does not create it.

50. The Narasimham Committee of 1991 recommended reforms in the

Answer: B. Banking and financial sector

Why correct: The Narasimham Committee recommended banking and financial reforms.

A is wrong: Agriculture was not its area.

C is wrong: Education was not its area.

D is wrong: Railways were not its area.